

## **Cons**

When baby boomers wring their hands and talk of interest rates peaking at a horrifying 17 per cent in the 1980s, they would have had variable home loans at that time. Warning: this type of loan is exposed to interest rate fluxes.

## **Split home loan**

The loan is a combination of fixed and variable rates, the split of which is discussed with the bank.

## **Pros**

There are effectively two loans on the go; one is under a fixed rate, with the confidence and steadiness that provides, and the other has variable interest, with flexibility and the possibility of making extra payments.

## **Cons**

That flexibility is tempered by the risk of rate rises.

## **Interest-only loans**

The traditional home loan is a principal-and-interest loan – the amount borrowed from the bank (the principal) is paid back, along with the interest on that amount borrowed, thus chipping away at the entire debt. An interest-only loan suspends the obligation to pay back the principal, and repayments are only made on the interest – for a set period.

## **Pros**

Repayments will be low to begin with – for the set interest-only period agreed to with the bank.

## **Cons**

After reverting to paying back the principal and the interest, repayments will be higher, to cover the debt. This is because during the interest-only